

Government Actions in Markets

Based on Ch. 6, Economics 10th ed., Parkin, Powell & Mathews

Course: Eco 101 (Introduction to Microeconomics)

Price Ceiling

- A **price ceiling** is a **legal maximum** on the price at which a good can be sold.

Example of Price Ceiling: Rent Control:

An example of a price ceiling is **rent control**, in which the government sets a maximum rent that landlords must abide by. A price ceiling is only effective when the ceiling is below the equilibrium price for the market, since otherwise all firms would just sell at the equilibrium price meaning the ceiling has no point.

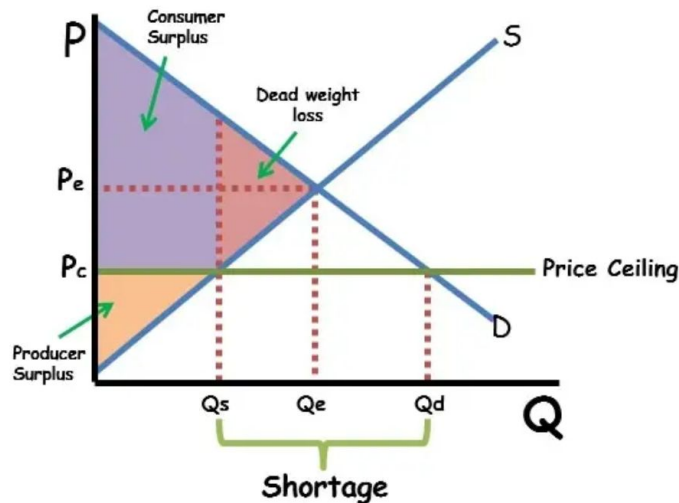
Price Ceiling and Shortage

A **price ceiling** creates a situation **similar to a shortage**.

Low price → **higher quantity demanded** but **lower quantity supplied**.

This mismatch causes **disequilibrium** in the market.

- On the graph:
 - P_c** is the maximum (ceiling) price set by the government.
 - Quantity supplied = Q_s; Quantity demanded = Q_d.**
 - Consumer surplus:** area below demand curve up to Q_s.
 - Producer surplus:** reduced due to lower price and quantity sold.
- The **lost surplus (CS + PS)** due to inefficiency is called **deadweight loss (DWL)**.



Deadweight Loss

Deadweight loss: the **fall in total surplus** that results from a market distortion when a **price control** prevents the market from reaching equilibrium.

Deadweight loss measures the **economic value lost when the market cannot clear** due to government-imposed price restrictions.

Price Floor

- A **price floor** is a **legal minimum** on the price at which a good or service can be sold.

Example of Price Floor: Minimum wage

An example of a price floor is the minimum wage, which is the lowest amount that an employer can pay their employees. A price floor is only effective if it is above the equilibrium price for the market, as firms will sell their goods or services at the equilibrium price if it is higher than the floor. If the price floor is below the equilibrium price, it will not have any effect on the market.

Price Floor and Surplus

A **price floor** creates a situation **similar to a surplus**.

High price → **lower quantity demanded** but **higher quantity supplied**.

This mismatch causes **disequilibrium** in the market.

- On the graph:
 - P_f** is the **minimum (floor) price** set by the government.
 - Quantity demanded = Q_d; Quantity supplied = Q_s.**
 - Producer surplus:** area above the supply curve up to Q_d.
 - Consumer surplus:** reduced due to higher price and lower quantity bought.

The **lost surplus (CS + PS)** due to inefficiency is called **deadweight loss (DWL)**.

